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Exam: Capital Investment Decisions

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1. A company is evaluating two mutually exclusive projects: - Project A has an initial investment of $1,000,000 and expected annual cash flows of $300,000 for 5 years. - Project B requires an initial investment of $1,500,000 and is expected to generate annual cash flows of $400,000 for 6 years. The company's cost of capital is 10%, and it uses a payback period cutoff of 4 years. Which of the following statements is true?

A. Both Payback and NPV methods would select Project A.
B. Project A would be chosen under the Payback method, while Project B has a higher NPV.
C. The choice between projects is impossible without calculating the IRR.
D. Project B would be chosen under both Payback and NPV methods.

2. In what way does the Payback method provide valuable liquidity information that other methods might overlook?

A. It indicates how quickly a project will generate cash to recoup the initial investment.
B. It calculates the cash balance at every point in a project's life.
C. Payback method does not provide any more liquidity information than other capital budgeting tools.
D. Liquidity information from Payback method is generally less valuable than profitability information.

3. In the context of capital rationing, how does the Payback method's evaluation of investment recovery influence project selection?

A. It prioritizes projects based on their internal rate of return relative to the cost of capital.
B. It prioritizes the optimal allocation of capital across all available projects.
C. It may lead to selecting projects with faster recovery of initial investment, potentially at the expense of long-term value creation.
D. It prioritizes the selection of projects with the highest net present value.

4. A project has the following cash flows: Year 0: -$1,100, Year 1: $385, Year 2: $473, Year 3: $273. What is the approximate IRR?

A. 0.08%
B. 0.94%
C. -14.63%
D. 1.48%

5. A salon owner is considering redecorating the store at a cost of $280,000. The project is expected to generate annual cash flows of $84,000 annually for 5 years. In year 6, the store will require additional redecoration of $110,000, and then from years 7-10 will continue to generate $58,000 annually. If the discount rate is 10.00%, what is the NPV of this project?

A. $80,114
B. $259,438
C. -$338,050
D. $204,298

6. Which of these would most likely be classified as an independent project?

A. Building a new factory on a new site that is under negotiation.
B. Replacing the fleet of delivery vehicles to move from gas to electric.
C. Replacing the ventilation system in the factory.
D. Adding additional servers after moving to a larger datacenter.

7. A project has cash flows of $-3,493.12 (Y0), $4,200 (Y1), $2,200 (Y2) and $-5,689.71 (Y3). Using a discount rate of 6.00% to calculate the MIRR using the combination approach.

A. -17.28%
B. -5.18%
C. -31.09%
D. -2.93%

8. You want to open a McDonalds franchise. The upfront cost is $2,500,000 but you are expected to generate $400,000 of free cash each year for the next 15 years. What discount rate would result in an NPV of approximately $0?

A. 10.2%
B. 13.7%
C. 9.1%
D. 11.3%

9. How does the presence of multiple IRRs in non-conventional cash flows affect the decision-making process?

A. It has no effect on the decision-making process.
B. It always leads to project rejection.
C. It complicates the decision, as it's unclear which IRR to use.
D. It simplifies the decision by providing more options.

10. Calculate the discount rate, expressed as a percentage, that makes the net present value (NPV) $0 if you invest $1,100 and receive $56 per year forever.

A. 2.55%
B. 4.84%
C. 5.09%
D. 2,064.29%

11. Find the IRR at which the NPVs of two projects are equal if Project A has cash flows of $-500,000, $320,000, $390,000, $520,000 and Project B has cash flows of $-46,000, $31,000, $24,000.

A. 44.72%
B. 59.35%
C. 53.83%
D. 0.59%

12. A project with an initial outlay of $800,000 is expected to generate cash flows of $300,000, $350,000, $400,000, and $250,000 over the next four years. Using a discount rate of 8%, calculate the Discounted Payback Period.

A. 3.3 years
B. 2.4 years
C. 3.5 years
D. 2.7 years

13. How should varying depreciation methods affect AAR?

A. Different depreciation methods change the average book values over the life of the project, which affects AAR.
B. Different depreciation methods cannot be used, only straight line depreciation is applied in the AAR calculations.
C. Different depreciation methods change the income pattern and book values, which both affect AAR.
D. Depreciation doesn't matter as the average book value is always calculated by dividing the invested amount by 2 (implicitly assuming that the asset is always depreciated to $0 over the life of the project).

14. How should PI inform capital allocation strategy?

A. Use PI to rank projects when capital is constrained.
B. Use NPV to rank projects when capital is constrained.
C. Use NPV rather than PI in all scenarios.
D. Never use PI to rank projects.

15. What is the formula for Profitability Index?

A. IRR minus discount rate.
B. NPV divided by Initial Investment Cost.
C. Present Value of Future Cash Flows divided by Initial Investment Cost.
D. Total profits divided by costs.

16. Why does a higher discount rate generally lead to a lower NPV?

A. Because it reduces the value of further-out future cash flows, which are generally positive, more than near-term cash flows, which are generally negative.
B. Because it extends the project's time horizon.
C. Because it reduces the present value of future cash inflows more than it reduces the present value of future cash outflows.
D. Because it increases the upfront initial investment amount.

17. In a scenario with multiple IRRs, which of the following is true?

A. The highest IRR should always be used for decision-making.
B. The project should automatically be rejected.
C. IRR becomes more reliable than NPV.
D. The NPV rule provides a clear accept/reject decision.

18. How does increasing the discount rate typically affect the Discounted Payback Period of a project?

A. It generally decreases the Discounted Payback Period as future cash flows are valued more.
B. It usually increases the Discounted Payback Period for short-term projects but decreases it for long-term projects.
C. It generally increases the Discounted Payback Period as future cash flows are valued less.
D. It has no effect on the Discounted Payback Period.

19. What advantage does AAR offer over NPV?

A. It uses familiar accounting measures for financial managers.
B. It captures the inter-dependence of projects.
C. Income statements are more accurate reflections of value created than cash flows.
D. It incorporates time value of money.

20. Calculate the present value of receiving $1,100 in 3 years at a discount rate of 11.00%.

A. $804.31
B. $827.07
C. $1,560.35
D. $1,504.39

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1. Which of these would most likely be classified as an independent project?

A. Building a new factory on a new site that is under negotiation.
B. Replacing the ventilation system in the factory.
C. Replacing the fleet of delivery vehicles to move from gas to electric.
D. Adding additional servers after moving to a larger datacenter.

2. What is the primary rationale behind using a preset cutoff period in Payback and Discounted Payback methods?

A. It prioritizes the selection of projects with the highest net present value.
B. It serves as a proxy for the firm's liquidity requirement.
C. It eliminates the need for subjective judgment in capital budgeting decisions.
D. It ensures that all projects are evaluated over their relevant economic life.

3. What is the formula for Profitability Index?

A. IRR minus discount rate.
B. NPV divided by Initial Investment Cost.
C. Present Value of Future Cash Flows divided by Initial Investment Cost.
D. Total profits divided by costs.

4. How does the presence of multiple IRRs in non-conventional cash flows affect the decision-making process?

A. It simplifies the decision by providing more options.
B. It complicates the decision, as it's unclear which IRR to use.
C. It always leads to project rejection.
D. It has no effect on the decision-making process.

5. Why does a higher discount rate generally lead to a lower NPV?

A. Because it reduces the present value of future cash inflows more than it reduces the present value of future cash outflows.
B. Because it extends the project's time horizon.
C. Because it reduces the value of further-out future cash flows, which are generally positive, more than near-term cash flows, which are generally negative.
D. Because it increases the upfront initial investment amount.

6. What is AAR's key limitation versus NPV?

A. AAR doesn't require that management select an appropriate discount rate.
B. It is an incomplete analysis that doesn't properly account for the upfront investment into the asset.
C. It is too complex.
D. It ignores the time value of money.

7. A company is evaluating two mutually exclusive projects. Project A has an NPV of $1 million and requires an initial investment of $5 million. Project B also has an NPV of $1 million and requires an initial investment of $8 million. If the company is facing capital constraints, which project should it choose and why?

A. There's not enough information to tell.
B. Either project, as they both have the same NPVs.
C. Neither project, as the company is facing capital constraints.
D. Project A, because it generates the same NPV with a lower upfront investment.

8. With a $5,800 investment and a present value of the subsequent flows of $6,800, calculate the Profitability Index.

A. 0.17
B. 0.01
C. 1.17
D. 0.85

9. How do non-cash charges affect the calculation of AAR?

A. Non-cash items that affect accounting income and asset book value are included and averaged over the project life.
B. Non-cash items are included in the income statement and averaged over the life of the project, and the book value of the asset is divided by 2 to simplify the calculation of depreciation.
C. Non-cash items are stripped out of the pro forma income statement and asset book value in order to reflect a more accurate cash flow impact.
D. Only cash items are considered in the pro-form income statement and balance sheet and averaged over the life of the project.

10. How does increasing the discount rate typically affect the Discounted Payback Period of a project?

A. It has no effect on the Discounted Payback Period.
B. It generally increases the Discounted Payback Period as future cash flows are valued less.
C. It generally decreases the Discounted Payback Period as future cash flows are valued more.
D. It usually increases the Discounted Payback Period for short-term projects but decreases it for long-term projects.

11. Calculate the Net Present Value (NPV) given an initial investment of $900,000, Year 1 cash flow of $410,000, Year 2 cash flow of $480,000, Year 3 cash flow of $430,000, and a required rate of return of 19.00%.

A. -$1,838,666
B. $38,666
C. $77,245,648
D. $414,962

12. All else remaining constant, if a positive cash flow is moved further into the future, what is the resulting change to the NPV?

A. It will go up.
B. There's not enough information to answer this question.
C. It will go down.
D. It will not change.

13. Project X has cash flows of -$1000, $5000, -$4400 and IRRs of 10% and 100%. Project Y has conventional cash flows and an IRR of 25%. Both have positive NPVs at the 15% target rate of return. How would you compare these projects, and which is more reliable?

A. Project Y is more reliable due to its single, higher IRR.
B. Project X is more reliable because it has two IRRs to choose from.
C. NPV is more reliable. Compare the projects' NPVs at 15% discount rate.
D. Both projects are equally reliable as they both have positive NPVs.

14. A company is evaluating two mutually exclusive projects: - Project A has an initial investment of $1,000,000 and expected annual cash flows of $300,000 for 5 years. - Project B requires an initial investment of $1,500,000 and is expected to generate annual cash flows of $400,000 for 6 years. The company's cost of capital is 10%, and it uses a payback period cutoff of 4 years. Which of the following statements is true?

A. Project A would be chosen under the Payback method, while Project B has a higher NPV.
B. The choice between projects is impossible without calculating the IRR.
C. Project B would be chosen under both Payback and NPV methods.
D. Both Payback and NPV methods would select Project A.

15. How many times will the NPV profile of a project with conventional cash flows cross the x-axis?

A. Once
B. Never
C. Twice
D. It depends on the magnitude of cash flows.

16. How might the advantages of the Payback method be particularly relevant for small businesses or startups?

A. It is easy to apply with limited financial expertise.
B. The advantages of Payback method are more relevant for large, established corporations.
C. It applies a cut-off point when analyzing a potential investment, which allows for upside in the future.
D. It addresses immediate cash flow concerns, which dominate small businesses.

17. Which tools require the manager to select a discount rate?

A. NPV and IRR.
B. PI and MIRR.
C. AAR and Payback.
D. Discounted Payback and IRR.

18. If the discount rate applied to a project is halved, what happens to the discounted payback period of the project?

A. It reduces, by less than 50%.
B. It redcues, by more than 50%.
C. It increases, by more than 50%.
D. It depends on the cash flow.

19. Find the IRR at which the NPVs of two projects are equal if Project A has cash flows of $-600,000, $280,000, $330,000, $410,000 and Project B has cash flows of $-54,000, $25,000, $23,000.

A. 0.32%
B. 20.81%
C. 27.52%
D. 32.20%

20. A project has the following cash flows: Year 0: -$1,300, Year 1: $456, Year 2: $553, Year 3: $359. What is the approximate IRR?

A. 2.69%
B. -14.92%
C. 1.74%
D. 0.15%

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1. You want to open a McDonalds franchise. The upfront cost is $2,500,000 but you are expected to generate $400,000 of free cash each year for the next 15 years. What discount rate would result in an NPV of approximately $0?

A. 11.3%
B. 10.2%
C. 9.1%
D. 13.7%

2. Which of the three MIRR approaches results in the highest MIRR from this set of cash flows, assuming a 12% discount rate: -$900, +$1300, -$200.

A. All equal
B. Discounting
C. Reinvestment
D. Combination

3. There are two dependent projects. Project A is to build a factory, which has an NPV of -$3m. Project B starts after Project A is completed and is to buy a fleet of trucks to deliver the extra products manufactured at the new facility. Project B has an NPV of $3m. What should the financial manager do?

A. Analyze the cash flows from both projects together to determine the overall NPV of both projects before making a decision.
B. Proceed with both projects as the combined NPV meets the required rate of return.
C. Proceed with Project B, but not Project A.
D. Don't pursue either project as they are dependant, and Project A has a negative NPV.

4. Project X has cash flows of -$1000, $5000, -$4400 and IRRs of 10% and 100%. Project Y has conventional cash flows and an IRR of 25%. Both have positive NPVs at the 15% target rate of return. How would you compare these projects, and which is more reliable?

A. NPV is more reliable. Compare the projects' NPVs at 15% discount rate.
B. Both projects are equally reliable as they both have positive NPVs.
C. Project Y is more reliable due to its single, higher IRR.
D. Project X is more reliable because it has two IRRs to choose from.

5. Under what circumstances will the Discounted Payback Period always be longer than the simple Payback Period for the same project?

A. When the discount rate is negative.
B. When the discount rate is positive and cash flows are positive.
C. When the project has a negative NPV.
D. When cash flows are constant over the project's life.

6. What causes IRR's multiple solution problem?

A. Varying discount rates applied to different cash flows in the timeline.
B. Multiple sign changes in cash flows.
C. Time value of money creates multiple IRRs.
D. Multiple changes in cash flow amounts.

7. For which type of project would Payback likely provide more relevant information than Discounted Payback?

A. A project with significant negative cash flows in early years followed by large positive flows later.
B. A long-term research and development project with uncertain but potentially high future returns.
C. An infrastructure project with stable, government-backed cash flows over several decades.
D. A short-term project in a high-inflation economy where rapid capital recovery is crucial.

8. What business scenarios typically create non-conventional patterns?

A. All business scenarios are conventional.
B. Startups that are growing rapidly.
C. M&A buyouts by larger firms.
D. Projects with significant decommissioning costs.

9. How might the Payback method be especially useful in assessing projects in a volatile industry with rapid technological changes?

A. Payback usually provides misleading information in rapidly changing technological environments.
B. It helps identify projects that recover investments quickly.
C. The Payback method is difficult to calculate and misleading in volatile industries.
D. In volatile industries, only complex methods like NPV and IRR should be used.

10. Calculate the present value of receiving $1,000 in 3 years at a discount rate of 9.00%.

A. $787.40
B. $772.18
C. $1,327.01
D. $1,295.03

11. A project with an initial outlay of $800,000 is expected to generate cash flows of $300,000, $350,000, $400,000, and $250,000 over the next four years. Using a discount rate of 8%, calculate the Discounted Payback Period.

A. 3.3 years
B. 2.7 years
C. 2.4 years
D. 3.5 years

12. Find the IRR at which the NPVs of two projects are equal if Project A has cash flows of $-500,000, $290,000, $380,000, $470,000 and Project B has cash flows of $-48,000, $31,000, $25,000.

A. 38.62%
B. 0.53%
C. 47.82%
D. 53.03%

13. If the discount rates fall, what happens to the NPV and IRR for conventional cash flows?

A. The IRR increases, but the NPV remains constant.
B. The IRR remains constant, but the NPV increases.
C. The IRR remains constant, but the NPV decreases.
D. The IRR decreases, but the NPV remains constant.

14. A project has the following cash flows: Year 0: -$1,100, Year 1: $376, Year 2: $480, Year 3: $291. What is the approximate IRR?

A. 2.20%
B. 1.42%
C. 0.12%
D. -14.68%

15. Why is creating an NPV profile particularly important for projects with non-conventional cash flows?

A. It eliminates the need to calculate IRR.
B. NPV profiles always show that non-conventional projects should be rejected.
C. NPV profiles are only useful for conventional cash flows.
D. It provides a view of the project's value across different discount rates, clarifying multiple IRR scenarios.

16. Which of these would most likely be classified as an independent project?

A. Replacing the ventilation system in the factory.
B. Adding additional servers after moving to a larger datacenter.
C. Replacing the fleet of delivery vehicles to move from gas to electric.
D. Building a new factory on a new site that is under negotiation.

17. How should varying depreciation methods affect AAR?

A. Depreciation doesn't matter as the average book value is always calculated by dividing the invested amount by 2 (implicitly assuming that the asset is always depreciated to $0 over the life of the project).
B. Different depreciation methods cannot be used, only straight line depreciation is applied in the AAR calculations.
C. Different depreciation methods change the average book values over the life of the project, which affects AAR.
D. Different depreciation methods change the income pattern and book values, which both affect AAR.

18. Calculate the Net Present Value (NPV) given an initial investment of $400,000, Year 1 cash flow of $240,000, Year 2 cash flow of $230,000, Year 3 cash flow of $210,000, and a required rate of return of 9.00%.

A. $175,928
B. -$975,928
C. $278,805
D. $318,727,572

19. If the discount rate applied to a project is halved, what happens to the discounted payback period of the project?

A. It redcues, by more than 50%.
B. It increases, by more than 50%.
C. It reduces, by less than 50%.
D. It depends on the cash flow.

20. Calculate the project's Average Accounting Return (AAR) given the net incomes of $230,000 in Y1 and $230,000 in Y2, and an initial equipment cost of $600,000 (with a salvage value of half that cost at the end of Y2).

A. 51.11%
B. 102.22%
C. 38.33%
D. 25.56%

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1. What advantage does AAR offer over NPV?

A. Income statements are more accurate reflections of value created than cash flows.
B. It uses familiar accounting measures for financial managers.
C. It captures the inter-dependence of projects.
D. It incorporates time value of money.

2. A real estate development firm is considering a project with the following cash flow structure: Year 0: -$50 million (initial investment) Years 1-3: -$10 million per year (additional investments) Years 4-10: $20 million per year (positive cash flows) The discount rate is 12%. Which of the following statements about this project's NPV is most accurate?

A. The project's NPV will always be positive regardless of the discount rate used.
B. The project's NPV would be the same if all negative cash flows occurred in Year 0.
C. The project's NPV is more sensitive to changes in the initial investment than to changes in the yearly cash flows.
D. The project's NPV is highly sensitive to changes in the discount rate due to its cash flow pattern.

3. Why does a higher discount rate generally lead to a lower NPV?

A. Because it reduces the value of further-out future cash flows, which are generally positive, more than near-term cash flows, which are generally negative.
B. Because it increases the upfront initial investment amount.
C. Because it reduces the present value of future cash inflows more than it reduces the present value of future cash outflows.
D. Because it extends the project's time horizon.

4. How does the presence of multiple IRRs in non-conventional cash flows affect the decision-making process?

A. It simplifies the decision by providing more options.
B. It complicates the decision, as it's unclear which IRR to use.
C. It always leads to project rejection.
D. It has no effect on the decision-making process.

5. A potential investment of $3,200,000 is projected to generate cash flows of $320,000 annually for the next 8 years. What's the absolute difference in NPV between a discount rate of 4.00% and 10.00%?

A. $84,539
B. $447,302
C. $228,928
D. $1,144,075

6. In a scenario with multiple IRRs, which of the following is true?

A. The highest IRR should always be used for decision-making.
B. The project should automatically be rejected.
C. IRR becomes more reliable than NPV.
D. The NPV rule provides a clear accept/reject decision.

7. If the discount rates fall, what happens to the NPV and IRR for conventional cash flows?

A. The IRR increases, but the NPV remains constant.
B. The IRR remains constant, but the NPV increases.
C. The IRR decreases, but the NPV remains constant.
D. The IRR remains constant, but the NPV decreases.

8. What is the formula for Profitability Index?

A. IRR minus discount rate.
B. Total profits divided by costs.
C. Present Value of Future Cash Flows divided by Initial Investment Cost.
D. NPV divided by Initial Investment Cost.

9. How might the advantages of the Payback method be particularly relevant for small businesses or startups?

A. It is easy to apply with limited financial expertise.
B. It addresses immediate cash flow concerns, which dominate small businesses.
C. It applies a cut-off point when analyzing a potential investment, which allows for upside in the future.
D. The advantages of Payback method are more relevant for large, established corporations.

10. What is AAR's key limitation versus NPV?

A. AAR doesn't require that management select an appropriate discount rate.
B. It ignores the time value of money.
C. It is an incomplete analysis that doesn't properly account for the upfront investment into the asset.
D. It is too complex.

11. A project requires $1,200,000 initially and is expected to yield cash flows of $450,000, $400,000, $460,000, $410,000, and $400,000 over the next five years. What is the Payback Period?

A. 0.57 years
B. 2.76 years
C. 0.38 years
D. 2.83 years

12. Why is NPV generally preferred over IRR for capital budgeting decisions?

A. IRR cannot be used for mutually exclusive projects.
B. NPV usually gives a higher value than IRR.
C. IRR is complicated and difficult to calculate.
D. NPV provides a direct measure of value-added and can handle non-conventional cash flows.

13. In the context of the IRR decision rule, what does the required rate of return represent?

A. The average return of all company projects
B. The minimum acceptable rate of return for the investment.
C. The project's maximum possible return.
D. The expected inflation rate.

14. Which statement most accurately describes the fundamental difference between Payback and Discounted Payback in their consideration of the time value of money?

A. Discounted Payback only applies the time value of money to cash outflows, while Payback applies it to both inflows and outflows.
B. Discounted Payback recognizes that future cash flows are worth less than immediate cash flows.
C. Both methods incorporate the time value of money but in different ways.
D. Payback considers the time value of money, while Discounted Payback ignores it.

15. Which tools require the manager to select a discount rate?

A. AAR and Payback.
B. PI and MIRR.
C. NPV and IRR.
D. Discounted Payback and IRR.

16. A salon owner is considering redecorating the store at a cost of $250,000. The project is expected to generate annual cash flows of $69,000 annually for 5 years. In year 6, the store will require additional redecoration of $100,000, and then from years 7-10 will continue to generate $47,000 annually. If the discount rate is 9.00%, what is the NPV of this project?

A. -$306,834
B. $181,177
C. $49,551
D. $168,804

17. If the discount rate applied to a project is halved, what happens to the discounted payback period of the project?

A. It increases, by more than 50%.
B. It redcues, by more than 50%.
C. It depends on the cash flow.
D. It reduces, by less than 50%.

18. Why is creating an NPV profile particularly important for projects with non-conventional cash flows?

A. It eliminates the need to calculate IRR.
B. NPV profiles always show that non-conventional projects should be rejected.
C. NPV profiles are only useful for conventional cash flows.
D. It provides a view of the project's value across different discount rates, clarifying multiple IRR scenarios.

19. Calculate the project’s Average Accounting Return (AAR) given the net incomes of $210,000 in Y1 and $210,000 in Y2, and an initial equipment cost of $500,000 (with a salvage value of half that cost at the end of Y2).

A. 42.00%
B. 28.00%
C. 112.00%
D. 56.00%

20. In the context of capital rationing, how does the preset cutoff period in Payback and Discounted Payback methods affect project selection compared to NPV?

A. It eliminates the need for capital rationing by automatically optimizing resource allocation.
B. It may lead to selecting projects that recover investments quickly but have lower total NPV, potentially resulting in suboptimal capital allocation.
C. The cutoff period ensures that only projects with the highest NPV are selected.
D. It usually selects the same projects as the NPV method would under capital rationing.

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A. The project's NPV is highly sensitive to changes in the discount rate due to its cash flow pattern.
B. The project's NPV is more sensitive to changes in the initial investment than to changes in the yearly cash flows.
C. The project's NPV will always be positive regardless of the discount rate used.
D. The project's NPV would be the same if all negative cash flows occurred in Year 0.

2. In the context of the IRR decision rule, what does the required rate of return represent?

A. The expected inflation rate.
B. The project's maximum possible return.
C. The minimum acceptable rate of return for the investment.
D. The average return of all company projects

3. What are the three steps in the MIRR discounting approach?

A. Compound negative flows to the end of the timeline, combine with the final cash flow, calculate IRR with modified flows.
B. Add the positive and negative cash flows together and calculate the IRR with the modified cash flows.
C. Compound negative flows to the end of the timeline, discount positive cash flows to the start of the timeline. Calculate IRR with modified flows.
D. Discount negative flows to present, combine with initial cost, and calculate IRR with modified flows.

4. How should PI inform capital allocation strategy?

A. Use NPV to rank projects when capital is constrained.
B. Use NPV rather than PI in all scenarios.
C. Use PI to rank projects when capital is constrained.
D. Never use PI to rank projects.

5. If the discount rate applied to a project is halved, what happens to the discounted payback period of the project?

A. It reduces, by less than 50%.
B. It increases, by more than 50%.
C. It redcues, by more than 50%.
D. It depends on the cash flow.

6. In the context of capital rationing, how does the preset cutoff period in Payback and Discounted Payback methods affect project selection compared to NPV?

A. It usually selects the same projects as the NPV method would under capital rationing.
B. It eliminates the need for capital rationing by automatically optimizing resource allocation.
C. It may lead to selecting projects that recover investments quickly but have lower total NPV, potentially resulting in suboptimal capital allocation.
D. The cutoff period ensures that only projects with the highest NPV are selected.

7. How many times will the NPV profile of a project with conventional cash flows cross the x-axis?

A. Once
B. Never
C. Twice
D. It depends on the magnitude of cash flows.

8. You want to open a McDonalds franchise. The upfront cost is $2,500,000 but you are expected to generate $400,000 of free cash each year for the next 15 years. What discount rate would result in an NPV of approximately $0?

A. 10.2%
B. 13.7%
C. 11.3%
D. 9.1%

9. Why do PI and NPV always align in accept/reject decisions?

A. PI is independent.
B. They sometimes differ.
C. Both measure the same thing.
D. NPV is irrelevant.

10. If the discount rates fall, what happens to the NPV and IRR for conventional cash flows?

A. The IRR remains constant, but the NPV decreases.
B. The IRR remains constant, but the NPV increases.
C. The IRR decreases, but the NPV remains constant.
D. The IRR increases, but the NPV remains constant.

11. What is the formula for Profitability Index?

A. Present Value of Future Cash Flows divided by Initial Investment Cost.
B. Total profits divided by costs.
C. IRR minus discount rate.
D. NPV divided by Initial Investment Cost.

12. In the context of capital rationing, how does the Payback method's evaluation of investment recovery influence project selection?

A. It prioritizes the selection of projects with the highest net present value.
B. It may lead to selecting projects with faster recovery of initial investment, potentially at the expense of long-term value creation.
C. It prioritizes projects based on their internal rate of return relative to the cost of capital.

D. It prioritizes the optimal allocation of capital across all available projects.

13. Which of these would most likely be classified as an independent project?

A. Building a new factory on a new site that is under negotiation.
B. Adding additional servers after moving to a larger datacenter.
C. Replacing the fleet of delivery vehicles to move from gas to electric.
D. Replacing the ventilation system in the factory.

14. What is the primary rationale behind using a preset cutoff period in Payback and Discounted Payback methods?

A. It eliminates the need for subjective judgment in capital budgeting decisions.
B. It prioritizes the selection of projects with the highest net present value.
C. It serves as a proxy for the firm's liquidity requirement.
D. It ensures that all projects are evaluated over their relevant economic life.

15. In what way does the Payback method provide valuable liquidity information that other methods might overlook?

A. Liquidity information from Payback method is generally less valuable than profitability information.
B. It calculates the cash balance at every point in a project's life.
C. Payback method does not provide any more liquidity information than other capital budgeting tools.
D. It indicates how quickly a project will generate cash to recoup the initial investment.

16. Calculate the present value of receiving $900 in 2 years at a discount rate of 12.00%.

A. $1,128.96
B. $725.81
C. $717.47
D. $1,162.19

17. If a project's IRR is 15% and the required rate of return is 12%, what should be the investment decision?

A. Reject the project.
B. Find the second IRR.
C. Calculate the Payback to decide.
D. Accept the project.

18. Which tools require the manager to select a discount rate?

A. NPV and IRR.
B. PI and MIRR.
C. AAR and Payback.
D. Discounted Payback and IRR.

19. How does the slope of the NPV profile relate to the project's IRR?

A. The slope is the same for all projects.
B. A steeper slope indicates higher sensitivity to changes in discount rate.
C. A flatter slope indicates a higher IRR.
D. The slope has no relation to the IRR.

20. There are two dependent projects. Project A is to build a factory, which has an NPV of -$3m. Project B starts after Project A is completed and is to buy a fleet of trucks to deliver the extra products manufactured at the new facility. Project B has an NPV of $3m. What should the financial manager do?

A. Don't pursue either project as they are dependant, and Project A has a negative NPV.
B. Analyze the cash flows from both projects together to determine the overall NPV of both projects before making a decision.
C. Proceed with Project B, but not Project A.
D. Proceed with both projects as the combined NPV meets the required rate of return.

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1. A project has the following cash flows: Year 0: -$1,400, Year 1: $442, Year 2: $554, Year 3: $349. What is the approximate IRR?

A. -2.05%
B. -0.11%
C. -19.36%
D. -1.31%

2. In the context of capital rationing, how does the Payback method's evaluation of investment recovery influence project selection?

A. It may lead to selecting projects with faster recovery of initial investment, potentially at the expense of long-term value creation.
B. It prioritizes the selection of projects with the highest net present value.
C. It prioritizes projects based on their internal rate of return relative to the cost of capital.
D. It prioritizes the optimal allocation of capital across all available projects.

3. If a project's IRR is 15% and the required rate of return is 12%, what should be the investment decision?

A. Calculate the Payback to decide.
B. Accept the project.
C. Reject the project.
D. Find the second IRR.

4. A company is evaluating two mutually exclusive projects. Project A has an NPV of $1 million and requires an initial investment of $5 million. Project B also has an NPV of $1 million and requires an initial investment of $8 million. If the company is facing capital constraints, which project should it choose and why?

A. Neither project, as the company is facing capital constraints.
B. There's not enough information to tell.
C. Either project, as they both have the same NPVs.
D. Project A, because it generates the same NPV with a lower upfront investment.

5. Using a discount rate of 9.00%, find the MIRR using the discount approach for a project with cash flows: $-1,000.00 at period 0, $3,100 at period 1, and $-1,500.00 at period 2.

A. 37.02%
B. 161.77%
C. 252.55%
D. 47.32%

6. If the discount rate applied to a project is halved, what happens to the discounted payback period of the project?

A. It depends on the cash flow.
B. It redcues, by more than 50%.
C. It increases, by more than 50%.
D. It reduces, by less than 50%.

7. A company is evaluating four projects: Projects W and X are mutually exclusive, Project Y is independent, and Project Z is contingent on Project Y. The NPVs are as follows: Project W: $500,000 Project X: $450,000 Project Y: $300,000 Project Z: $200,000 What is the correct course of action to maximize value?

A. Accept only Projects W and Y
B. Accept only Projects X and Y
C. Accept Projects X, Y, and Z
D. Accept Projects W, Y, and Z

8. Calculate the project's Average Accounting Return (AAR) given the net incomes of $200,000 in Y1 and $180,000 in Y2, and an initial equipment cost of $490,000 (with a salvage value of half that cost at the end of Y2).

A. 51.70%
B. 25.85%
C. 103.40%
D. 38.78%

9. If a project is deemed to be riskier than the company's average project, how should this be reflected in the NPV calculation?

A. By using a higher discount rate than the average project.
B. By shortening the project's time horizon.
C. By reducing the expected cash flows.
D. By increasing the initial investment amount.

10. How do non-cash charges affect the calculation of AAR?

A. Non-cash items are included in the income statement and averaged over the life of the project, and the book value of the asset is divided by 2 to simplify the calculation of depreciation.
B. Non-cash items are stripped out of the pro forma income statement and asset book value in order to reflect a more accurate cash flow impact.
C. Only cash items are considered in the pro-form income statement and balance sheet and averaged over the life of the project.
D. Non-cash items that affect accounting income and asset book value are included and averaged over the project life.

11. What does an NPV profile that crosses the x-axis multiple times indicate?

A. The project should be automatically rejected.
B. The NPV calculation is incorrect.
C. The project has conventional cash flows.
D. The project has multiple IRRs.

12. What is AAR's key limitation versus NPV?

A. It ignores the time value of money.
B. It is too complex.
C. It is an incomplete analysis that doesn't properly account for the upfront investment into the asset.
D. AAR doesn't require that management select an appropriate discount rate.

13. You want to open a McDonalds franchise. The upfront cost is $2,500,000 but you are expected to generate $400,000 of free cash each year for the next 15 years. What discount rate would result in an NPV of approximately $0?

A. 13.7%
B. 10.2%
C. 11.3%
D. 9.1%

14. How does increasing the discount rate typically affect the Discounted Payback Period of a project?

A. It generally increases the Discounted Payback Period as future cash flows are valued less.
B. It has no effect on the Discounted Payback Period.
C. It generally decreases the Discounted Payback Period as future cash flows are valued more.
D. It usually increases the Discounted Payback Period for short-term projects but decreases it for long-term projects.

15. What advantage does AAR offer over NPV?

A. It uses familiar accounting measures for financial managers.
B. It incorporates time value of money.
C. It captures the inter-dependence of projects.
D. Income statements are more accurate reflections of value created than cash flows.

16. Project X has cash flows of -$1000, $5000, -$4400 and IRRs of 10% and 100%. Project Y has conventional cash flows and an IRR of 25%. Both have positive NPVs at the 15% target rate of return. How would you compare these projects, and which is more reliable?

A. NPV is more reliable. Compare the projects' NPVs at 15% discount rate.
B. Both projects are equally reliable as they both have positive NPVs.
C. Project Y is more reliable due to its single, higher IRR.
D. Project X is more reliable because it has two IRRs to choose from.

17. In which scenario is the Payback Period most likely to give misleading results compared to the Discounted Payback Period?

A. A project with uniform cash flows throughout its life.
B. A project with a very short life span of less than one year.
C. A project with large initial cash flows but smaller cash flows in later years.
D. A project with small initial cash flows but large cash flows in later years.

18. Under what circumstances will the Discounted Payback Period always be longer than the simple Payback Period for the same project?

A. When cash flows are constant over the project's life.
B. When the discount rate is positive and cash flows are positive.
C. When the project has a negative NPV.
D. When the discount rate is negative.

19. Find the IRR at which the NPVs of two projects are equal if Project A has cash flows of $-480,000, $340,000, $490,000, $540,000 and Project B has cash flows of $-43,000, $34,000, $27,000.

A. 67.40%
B. 56.89%
C. 0.73%
D. 72.76%

20. There are two dependent projects. Project A is to build a factory, which has an NPV of -$3m. Project B starts after Project A is completed and is to buy a fleet of trucks to deliver the extra products manufactured at the new facility. Project B has an NPV of $3m. What should the financial manager do?

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1. How does the presence of multiple IRRs in non-conventional cash flows affect the decision-making process?

A. It simplifies the decision by providing more options.
B. It always leads to project rejection.
C. It complicates the decision, as it's unclear which IRR to use.
D. It has no effect on the decision-making process.

2. Why is creating an NPV profile particularly important for projects with non-conventional cash flows?

A. NPV profiles are only useful for conventional cash flows.
B. NPV profiles always show that non-conventional projects should be rejected.
C. It provides a view of the project's value across different discount rates, clarifying multiple IRR scenarios.
D. It eliminates the need to calculate IRR.

3. Why do PI and NPV always align in accept/reject decisions?

A. PI is independent.
B. Both measure the same thing.
C. NPV is irrelevant.
D. They sometimes differ.

4. How do non-cash charges affect the calculation of AAR?

A. Non-cash items are included in the income statement and averaged over the life of the project, and the book value of the asset is divided by 2 to simplify the calculation of depreciation.
B. Non-cash items that affect accounting income and asset book value are included and averaged over the project life.
C. Only cash items are considered in the pro-form income statement and balance sheet and averaged over the life of the project.
D. Non-cash items are stripped out of the pro forma income statement and asset book value in order to reflect a more accurate cash flow impact.

5. Which of the three MIRR approaches results in the highest MIRR from this set of cash flows, assuming a 12% discount rate: -$900, +$1300, -$200.

A. Combination
B. All equal
C. Discounting
D. Reinvestment

6. A potential investment of $3,100,000 is projected to generate cash flows of $320,000 annually for the next 8 years. What's the absolute difference in NPV between a discount rate of 4.00% and 10.00%?

A. $1,144,075
B. $84,539
C. $228,928
D. $447,302

7. How should PI inform capital allocation strategy?

A. Use NPV rather than PI in all scenarios.
B. Use PI to rank projects when capital is constrained.
C. Never use PI to rank projects.
D. Use NPV to rank projects when capital is constrained.

8. How does the slope of the NPV profile relate to the project's IRR?

A. A steeper slope indicates higher sensitivity to changes in discount rate.
B. A flatter slope indicates a higher IRR.
C. The slope is the same for all projects.
D. The slope has no relation to the IRR.

9. What is a defining characteristic of a non-conventional cash flow?

A. Cash flows change signs more than once over the project's life.
B. The final cash flow is negative.
C. All cash flows are positive.
D. The initial investment is positive.

10. A salon owner is considering redecorating the store at a cost of $280,000. The project is expected to generate annual cash flows of $85,000 annually for 5 years. In year 6, the store will require additional redecoration of $120,000, and then from years 7-10 will continue to generate $55,000 annually. If the discount rate is 10.00%, what is the NPV of this project?

A. $72,892
B. $208,366
C. -$343,701
D. $242,584

11. A real estate development firm is considering a project with the following cash flow structure: Year 0: -$50 million (initial investment) Years 1-3: -$10 million per year (additional investments) Years 4-10: $20 million per year (positive cash flows) The discount rate is 12%. Which of the following statements about this project's NPV is most accurate?

A. The project's NPV is more sensitive to changes in the initial investment than to changes in the yearly cash flows.
B. The project's NPV would be the same if all negative cash flows occurred in Year 0.
C. The project's NPV will always be positive regardless of the discount rate used.
D. The project's NPV is highly sensitive to changes in the discount rate due to its cash flow pattern.

12. Under what circumstances will the Discounted Payback Period always be longer than the simple Payback Period for the same project?

A. When the project has a negative NPV.
B. When cash flows are constant over the project's life.
C. When the discount rate is positive and cash flows are positive.
D. When the discount rate is negative.

13. A project with an initial outlay of $800,000 is expected to generate cash flows of $300,000, $350,000, $400,000, and $250,000 over the next four years. Using a discount rate of 8%, calculate the Discounted Payback Period.

A. 2.4 years
B. 3.5 years
C. 2.7 years
D. 3.3 years

14. What advantage does AAR offer over NPV?

A. Income statements are more accurate reflections of value created than cash flows.
B. It incorporates time value of money.
C. It captures the inter-dependence of projects.
D. It uses familiar accounting measures for financial managers.

15. Why is NPV generally preferred over IRR for capital budgeting decisions?

A. NPV usually gives a higher value than IRR.
B. IRR cannot be used for mutually exclusive projects.
C. NPV provides a direct measure of value-added and can handle non-conventional cash flows.
D. IRR is complicated and difficult to calculate.

16. How might the advantages of the Payback method be particularly relevant for small businesses or startups?

A. It applies a cut-off point when analyzing a potential investment, which allows for upside in the future.
B. It is easy to apply with limited financial expertise.
C. The advantages of Payback method are more relevant for large, established corporations.
D. It addresses immediate cash flow concerns, which dominate small businesses.

17. Which statement most accurately describes the fundamental difference between Payback and Discounted Payback in their consideration of the time value of money?

A. Both methods incorporate the time value of money but in different ways.
B. Discounted Payback recognizes that future cash flows are worth less than immediate cash flows.
C. Discounted Payback only applies the time value of money to cash outflows, while Payback applies it to both inflows and outflows.
D. Payback considers the time value of money, while Discounted Payback ignores it.

18. How does increasing the discount rate typically affect the Discounted Payback Period of a project?

A. It has no effect on the Discounted Payback Period.
B. It generally decreases the Discounted Payback Period as future cash flows are valued more.
C. It generally increases the Discounted Payback Period as future cash flows are valued less.
D. It usually increases the Discounted Payback Period for short-term projects but decreases it for long-term projects.

19. A company is evaluating two mutually exclusive projects. Project A has an NPV of $1 million and requires an initial investment of $5 million. Project B also has an NPV of $1 million and requires an initial investment of $8 million. If the company is facing capital constraints, which project should it choose and why?

A. Neither project, as the company is facing capital constraints.
B. There's not enough information to tell.
C. Either project, as they both have the same NPVs.
D. Project A, because it generates the same NPV with a lower upfront investment.

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20. In the context of the IRR decision rule, what does the required rate of return represent?

A. The project's maximum possible return.
B. The minimum acceptable rate of return for the investment.
C. The average return of all company projects
D. The expected inflation rate.

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Student ID: _____

Instructions:
- Write your Student ID in the space provided above
- Fill in the bubble completely with a dark pen or pencil
- Erase completely to change an answer
- Do not fold or make stray marks on this sheet

	A	B	C	D
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2.	○	○	○	○
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20.	○	○	○	○